While transferring the items, it is desirable that the results of buying and selling of goods and the results of overall operations and financial performance are given separately. Hence, income statement is divided into two parts. The first part, i.e., trading account shows the results of buying and selling and the second part shows the results of overall financial performance. The second part may also be presented in such a manner to give the operating results and overall financial performance separately. All the direct expenses and items relating to goods are transferred to trading account which is the first part of income statement. All indirect expenses and losses and indirect incomes and gains are transferred to profit and loss account along with the net result of trading account.

12.2 Closing entries and Opening entry

12.2.1 Closing entries

Balances of all the nominal accounts are required to be closed on the last day of the accounting year to facilitate the preparation of trading and profit and loss account. It is done by passing necessary closing entries in the journal proper. Purchases has debit balance and purchases returns has credit balance. At the end of the accounting year, the balance in purchases returns account is closed by transferring to purchases account.

Similarly, sales account has credit balance and sales returns has debit balance. At the end of the accounting year, the balance in sales returns account is closed by transferring to sales account. The various closing entries are as follows:

1. For closing purchases returns account

Particulars		Debit ₹	Credit ₹
Purchases returns A/c	Dr.	xxx	
To Purchases A/c			xxx
(Closing of purchase returns account by transferring to purchases account)			

2. For closing sales returns account

Particulars		Debit ₹	Credit ₹
Sales A/c	Dr.	xxx	
To Sales returns A/c			xxx
(Closing of sales returns account by transferring to sales account)			

3. For closing opening stock and direct expenses, i.e., items that appear on the debit side of trading account

Particulars		Debit ₹	Credit ₹
Trading A/c	Dr.	xxx	
To Opening stock A/c			xxx
To Purchases A/c			xxx
To Carriage inwards A/c			xxx
To Wages A/c			xxx
To All other direct expenses A/c (individually)			xxx
(Closing of various items by transferring them to trading account)			

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